

NovaCore Technologies Pvt. Ltd.

FINANCE APPROVAL POLICY

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Department	Finance
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Policy Title	Financial Approval and Authorization Policy
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Owner Department	Finance

1. Purpose

This policy establishes financial approval authorities and authorization requirements for purchases, operating expenses, capital expenditure, employee expenses, and emergency purchases.

2. Scope

This policy applies to employees, managers, department heads, Finance personnel, and business units initiating or approving financial commitments on behalf of NovaCore Technologies Pvt. Ltd.

3. Definitions

Purchase means acquisition of goods or services for business use. Capital Expenditure means spending that creates or materially improves an asset. Emergency Purchase means a purchase required to protect business continuity, safety, critical operations, or prevent material loss.

4. Financial Approval Principles

Financial commitments must be authorized before the organization becomes contractually or financially obligated, unless an approved emergency exception applies. Approvers must review business purpose, budget availability, supporting documentation, and applicable policies.

5. Purchase Approval Thresholds

Purchase Value	Required Approval Authority
Up to ■1,00,000	Department Manager
■1,00,001 – ■5,00,000	Department Head
■5,00,001 – ■10,00,000	Finance Controller
Above ■10,00,000	Chief Financial Officer (CFO)

6. Capital Expenditure

Capital expenditure above ■5,00,000 requires Finance review. Capital expenditure above ■10,00,000 additionally requires CFO approval. Requests must include business justification, useful life, estimated cost, and budget impact.

7. Operating Expenses

Operating expenses require an approved business requirement and available budget. Where Procurement requirements also apply, Procurement approval and sourcing controls must be completed in addition to financial approval.

8. Employee Expenses

Employees must submit reimbursement claims within 15 calendar days. Claims must include supporting documentation and follow the Expense Policy and Approval Matrix.

9. Emergency Purchases

Emergency purchases may bypass the normal pre-commitment sequence when delay would materially affect continuity, safety, critical operations, or preventable loss. Retrospective approval and documentation must be completed within 2 business days.

10. Exceptions

Exceptions require documented justification and approval from the appropriate Finance authority. An exception does not automatically waive Procurement, Legal, security, or other applicable requirements.

11. Responsibilities

Department Managers and Heads review business need and budget context. Finance verifies financial controls. The CFO approves purchases above the CFO threshold. Employees are responsible for accurate and timely documentation.

12. Approval Workflow

1. Identify requirement. 2. Prepare budget and supporting documents. 3. Check Procurement and Legal requirements. 4. Obtain financial approval. 5. Process purchase/expense and retain records.

13. Record Retention

Financial approval records, supporting documents, exception approvals, and related transaction records must be retained for 7 years unless a longer period is required.

14. Revision History

2025 — Initial policy issued. 2026 — Approval thresholds and emergency approval process revised.